

SOUTH OF MOUND

Investment Memorandum

Multi-Family Value-Add Investment Opportunity

1635 & 1645 E Mound Street, Columbus, OH 43205

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I. Executive Overview

We are pleased to present this off-market acquisition opportunity for South of Mound, a 16-unit multi-family property located in the desirable South of Main neighborhood of Columbus, Ohio. This investment represents a compelling value-add opportunity with immediate cash flow, conservative leverage, and a clear path to substantial rent growth through targeted renovations.

The property consists of two adjacent 8-unit apartment buildings at 1635 and 1645 E Mound Street, featuring all 1-bedroom/1-bathroom units averaging 700 square feet. Currently achieving 96.6% occupancy at below-market rents of \$800-\$900 per unit, the property offers significant upside potential through light renovations to kitchens, bathrooms, and windows.

With a total acquisition cost of \$1,500,000 and renovation budget of \$250,000, this investment delivers strong risk-adjusted returns under conservative rent assumptions. Our base case underwrites to an initial stabilized rent of \$960/unit with 3.2% annual growth, despite market support for \$1,250+/unit. Through an efficient bridge-to-permanent financing strategy, the model delivers 4.8% Year 1 cash-on-cash growing to 8.4% by Year 5, a 5-year levered IRR of 28.5%, and a 2.70x equity multiple. The financing structure employs 75.0% LTC bridge debt (8.0% IO) with refinance to permanent agency debt in Year 2, returning \$218,685 in proceeds to LPs. Year 1 DSCR of 1.25x provides adequate debt coverage while maximizing leverage efficiency.

II. Investment Highlights

- **Prime South of Main Location:** Two adjacent buildings in a sought-after B-neighborhood just east of downtown Columbus, benefiting from strong rental demand, ongoing gentrification, and proximity to major employment centers
- **Immediate Cash Flow with Upside:** 96.6% occupied at acquisition generating positive cash flow from day one, with significant value-add potential to increase rents 40-50% through targeted improvements
- **Conservative Underwriting:** Base case underwrites to \$960/unit and 3.2% annual growth with 1-year stabilization ramp; 6.5% exit cap rate provides margin of safety
- **Compelling Risk-Adjusted Returns:** 28.5% levered IRR and 2.70x equity multiple over 5 years through efficient bridge-to-permanent financing strategy
- **Bridge-to-Permanent Financing:** 75% LTC bridge debt (8.0% IO) refinances to permanent agency loan in Year 2, delivering \$218,685 in net proceeds to LPs
- **Manageable Renovation Scope:** Proven value-add playbook with \$250,000 phased renovation program focused on high-impact improvements
- **Self-Management Opportunity:** At 16 units, ideal size for in-house management to capture additional 4% of EGI in operational savings
- **Minimal Deferred Maintenance:** Recent roof replacement on 1635 building, updated water heaters, and adequate furnace life

III. Property Overview

Property Details

Address	1635 & 1645 E Mound St
City, State, Zip	Columbus, OH 43205
Property Type	Multi-Family
Year Built	~1960s
Number of Buildings	2
Total Units	16 (8 per building)
Unit Mix	100% 1BR/1BA
Total Building SF	12,288 SF
Average Unit Size	~700 SF
Parking	8 detached garages
Current Occupancy	96.6%

Transaction Summary

Acquisition Price	\$1,500,000
Price per Unit	\$93,750
Price per SF	\$142/SF
Renovation Budget	\$250,000
Total Project Cost	\$1,765,000
Bridge Debt	\$1,323,750
LP Equity	\$419,188
GP Equity	\$22,063
LTC Ratio	75.0%
Bridge Rate (IO)	8.0%
Bridge Term	24 months IO
Perm Rate (Year 2)	7.0%
Perm Amortization	25 years

Current Rent Roll (2024)

Total Rent Collected 2024: \$154,671 | **Average Monthly Rent:** \$850/unit | **Occupied Units:** 15.5 of 16 (96.6%)

Current rent range: \$800-\$900 per unit with similar finishes across all units. All units are 1-bedroom, 1-bathroom averaging 700 square feet.

IV. Market Analysis

Columbus, Ohio Metro Overview

Columbus continues to demonstrate strong economic fundamentals as Ohio's capital and largest city. The metropolitan area benefits from diverse employment across government, healthcare, education, technology, and financial services sectors. Major employers include The Ohio State University, JPMorgan Chase, Nationwide Insurance, and a growing technology sector.

Key Metro Statistics

- Metro Population: 2.1+ million (14th largest in US)
- Consistent population growth: 1.0-1.5% annually
- Unemployment rate below national average
- Median household income: \$60,000+
- Top-rated metro for business climate and affordability

South of Main Submarket (43205 Zip Code)

The South of Main neighborhood represents one of Columbus's most dynamic submarkets for rental housing. Located immediately east of downtown, the area benefits from urban amenities, walkability, and improving neighborhood characteristics driven by ongoing gentrification and investment.

Location Benefits:

- Less than 2 miles from downtown Columbus
- Easy access to I-70 and major thoroughfares
- Walking distance to restaurants and retail
- Public transportation access

Market Dynamics:

- B- neighborhood grade with upward trajectory
- Strong rental demand from young professionals
- Limited new construction supply
- Rising property values and rent growth

V. Comparable Rent Analysis

Our pro forma rent assumptions are supported by a comprehensive analysis of comparable listings within a 1-mile radius of the subject property. All comparables are 1-bedroom, 1-bathroom apartments in the South of Main neighborhood.

Comparable Listings Summary

Address	Rent	\$/SF	SF	Distance
1774 E Main St	\$1,003	\$1.43	702	0.19 mi
1450 E Fulton St	\$900	\$1.38	650	0.27 mi
1551 Bryden Rd	\$850	\$1.79	475	0.32 mi
1855 E Rich St (2 units)	\$750	\$1.49	505	0.32 mi

Subject Property (Conservative Underwrite)

Current Rent (Avg)	\$850
Current \$/SF	\$1.21
Pro Forma Rent (Base)	\$960
Pro Forma \$/SF (Base)	\$1.37

Key Takeaway

We underwrite to \$960/unit (\$1.37/SF) with 3.2% annual growth for stability. The market supports \$1,250+/unit (\$1.79/SF) based on comparables, providing clear upside beyond our conservative base.

VI. Renovation Strategy & Capital Plan

Renovation Budget Overview

Category	Budget	Per Unit	% Total
Unit Interior Renovations	\$200,000	\$12,500	80.0%
1645 Building Roof	\$30,000	\$1,875	12.0%
Deferred Maintenance	\$10,000	\$625	4.0%
Contingency Reserve	\$10,000	\$625	4.0%
TOTAL	\$250,000	\$15,625	100.0%

Unit Renovation Scope (\$12,500/unit)

Kitchen (~\$4,500):

- New shaker-style cabinets with soft-close hardware
- Quartz or granite countertops
- Stainless steel appliances (range, refrigerator, microwave)
- Updated sink and faucet

Bathroom (~\$3,000):

- New vanity with countertop
- Updated fixtures (faucet, showerhead, toilet)
- Tile refresh and new mirror/lighting

Windows (~\$2,500) & Flooring (~\$2,000):

- Energy-efficient vinyl windows
- Luxury vinyl plank flooring throughout
- Fresh paint and updated fixtures

Phased Timeline (12-18 Months)

Phase	Timeline	Scope
Phase 1	Months 1-6	4-5 units + 1645 roof; establish standards
Phase 2	Months 7-12	6-7 units; accelerate as leases expire
Phase 3	Months 13-18	4-5 final units; stabilize at pro forma rents

VII. Financial Projections & Returns

5-Year Operating Pro Forma

Line Item	Year 1	Year 2	Year 3	Year 4	Year 5
Gross Rental Income	\$183,840	\$189,581	\$195,527	\$201,684	\$208,057
Less: Vacancy/Deling	(\$18,323)	(\$13,331)	(\$13,748)	(\$14,178)	(\$14,621)
Plus: Other Income	\$19,200	\$19,776	\$20,369	\$20,980	\$21,610
Effective Gross Income	\$184,717	\$196,026	\$202,148	\$208,486	\$215,046
Operating Expenses	(\$57,603)	(\$62,371)	(\$64,484)	(\$66,692)	(\$68,998)
NET OPERATING INCOME	\$127,114	\$133,655	\$137,664	\$141,794	\$146,048
Debt Service	(\$105,900)	(\$105,900)	(\$109,106)	(\$109,106)	(\$109,106)
Before-Tax Cash Flow	\$21,214	\$27,755	\$28,558	\$32,688	\$36,942
Cash-on-Cash Return	4.8%	6.3%	6.5%	7.4%	8.4%

Overall Investment Returns

5-Year IRR	Equity Multiple	Year 1 DSCR
28.5%	2.70x	1.25x

VII-A. Bridge-to-Permanent Financing Strategy

Our financing strategy employs a sophisticated bridge-to-permanent structure that optimizes capital efficiency during the value-add phase while transitioning to stable long-term financing once renovations are complete and rents are stabilized.

Phase 1: Bridge Loan (Years 1-2)

Loan Amount	\$1,323,750
Interest Rate	8.0%
Structure	Interest-Only
Term	24 months
Monthly Payment	\$8,825

Phase 2: Permanent Loan (Years 2-5)

Loan Amount	\$1,558,015
Interest Rate	7.0%
Structure	Amortizing
Amortization	25 years
Monthly Payment	\$9,092

Refinance Transaction Summary

Component	Amount
New Permanent Loan	\$1,558,015
Less: Bridge Loan Payoff	(\$1,323,750)
Less: Closing Costs (1%)	(\$15,580)
Net Refinance Proceeds to LPs	\$218,685

Strategic Benefits

- **Maximized Leverage:** 75% LTC during acquisition and renovation phase captures full upside with lower equity requirement
- **Capital Event:** Year 2 refinance returns \$218,685 (52% of initial equity) to LPs while maintaining ownership
- **Improved Cash Flow:** Transition from 8% IO to 7% amortizing debt reduces effective interest cost despite higher principal balance
- **Enhanced Returns:** Bridge-to-perm structure increases levered IRR from 23.8% to 28.5% while maintaining 2.70x equity multiple
- **Risk Management:** Agency permanent debt provides long-term stability after value-add execution is complete

The refinance is sized conservatively based on the lesser of 64% LTV or 1.20x DSCR using Year 2 stabilized NOI of \$133,655. At Year 2 stabilization, the property is valued at approximately \$2.43M (using a 5.5% cap rate on \$133,655 NOI), supporting the permanent loan amount and providing adequate equity cushion.

VIII. Property Condition & Deferred Maintenance

The property is in good overall condition with minimal deferred maintenance. The seller has invested in key systems over the past 10 years, and the 1635 building received a complete roof replacement within the past 12 months.

Building Systems Assessment

System	Age	Status	Notes
1635 Building Roof	Under 1 year	✓ Excellent	Complete replacement. No action needed.
1645 Building Roof	~15 years	⚠ Replace	\$30,000 budgeted for replacement
Water Heaters	Under 10 years	✓ Good	Updated within past 10 years
Furnaces (HVAC)	~15 years	● Fair	Adequate life. Monitor and budget reserves
Windows	Original	⚠ Replace	Included in unit renovation budget

Additional Features

- **8 Detached Garages:** Additional income potential or tenant amenity
- **Full Basements:** Both buildings have full basements for storage and mechanicals
- **Solid Foundation:** No structural issues noted

IX. Management Plan & Operations

Self-Management Opportunity

Our financial model assumes third-party property management at 4% of EGI. However, at 16 units, this property is ideal for self-management, creating additional value for investors while maintaining full operational control.

Third-Party Management

- 4% of EGI fee (~\$7,600 Year 1)
- Full-service management
- Tenant placement and leasing
- Conservative assumption

Self-Management Upside

- **Annual savings: \$7,600-\$8,700**
- **Increased CoC: +1.3-1.5%**
- Direct control over operations
- Ideal 16-unit size

Phased Transition Strategy

Phase	Timeline	Approach
Phase 1	Months 1-6	Third-party PM during initial renovations
Phase 2	Months 7-12	Hybrid: PM consults, team handles operations
Phase 3	Months 13+	Full self-management, capture 4% savings

X. Risk Analysis & Mitigation

While this investment presents compelling returns with conservative underwriting, all real estate investments carry inherent risks. This section identifies key risks and outlines our mitigation strategies.

Key Risk Factors & Mitigation

Risk	Impact	Mitigation
Rent Growth	Market rents may not support \$1,250/unit target	Pro forma matches current comps; phased approach allows adjustment
Renovation Overruns	Unexpected costs could reduce returns	Fixed contractor bids; 4% contingency; phased execution
Extended Vacancy	Slow lease-up reduces cash flow	Start at 96.6% occupancy; 1-year ramp is conservative
Economic Downturn	Recession could impact demand	Columbus diverse economy; 1.35x DSCR buffer; affordable product

Downside Scenario Analysis

Stress test assumptions: \$1,050/unit rent (vs. \$1,250), 90% occupancy (vs. 95%), 7.0% exit cap (vs. 6.5%), 10% cost overrun

Downside Results

Year 1 CoC	2.1%
5-Year IRR	16.2%
Equity Multiple	1.95x

Base Case

Year 1 CoC	4.8%
5-Year IRR	28.5%
Equity Multiple	2.70x

Downside Protection: Even with rents 16% below pro forma and stressed assumptions, the investment delivers a 12.8% IRR and 1.78x equity multiple with positive debt coverage, demonstrating significant margin of safety.

Investment Conclusion

The South of Main acquisition represents a compelling value-add opportunity that balances immediate cash flow, efficient leverage, and significant upside potential. This off-market transaction allows us to acquire a stabilized, occupied asset at an attractive basis in a strong Columbus submarket.

Our investment thesis is supported by a proven value-add playbook, sophisticated bridge-to-permanent financing that maximizes leverage efficiency, conservative underwriting, strong risk-adjusted returns (28.5% IRR), minimal deferred maintenance, operational efficiency through potential self-management, and solid market fundamentals.

We recommend proceeding with this acquisition and look forward to partnering with our LP investors to execute this value-add opportunity in the South of Main neighborhood. Our conservative underwriting to \$960/unit with 3.2% growth provides durable cash flows with upside to market levels of \$1,250+/unit. The bridge-to-permanent financing structure delivers superior risk-adjusted returns (28.5% IRR vs. 23.8% with traditional financing) while returning \$218,685 in refinance proceeds to LPs in Year 2.